



KT

"The Value Networking Company"

***Lehman Brothers
2002 Asia Trip, Seoul***

November 21, 2002

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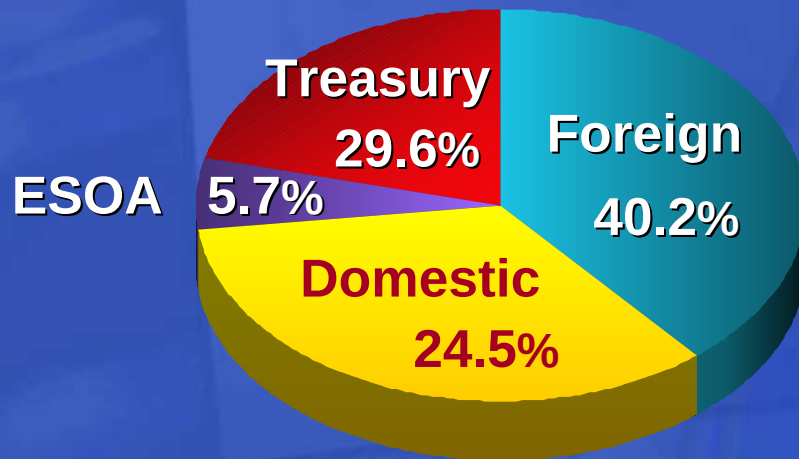
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Completion of privatization

Shareholder Composition

(as of November, 2002)



* Assume share swap with SKT

Management's Achievement

- Enhancing corporate governance
- 1% share buyback & cancellation
- 1.1% EB buyback & retirement
- Appropriate usage of FCF
- Share swap agreement with SKT

Free cash flow to be used for shareholder value

Usage (2002)

- **DPS 20% increase**
- **1% Share buyback & cancellation**
 - Cancellation date : Oct 9
 - Total amount : KRW 167 billion
- **1.13% EB retirement**
 - Reduction of overhang concerns
 - Decrease risk of cash settlement at conversion

Usage Plan

- **Increase in dividend**
- **Share buyback & cancellation**
- **Debt repayment**

Return profits to shareholders

Share swap agreement reached with SKT

Details for Swap

● Swap price & Amount

(KRW)

	# of Shares	Swap Price	Amount
SKT share	8,266,923	224,000	1.85 tri.
KT Share	29,808,333	50,900	1.51 tri.
Diff.	334.5 billion		

● Methods of Swap

- Fixed Swap price scheme
- Floating swap price scheme

Positive Impact from Swap

- Dispose non-core asset
- Settle down anti-trust issues
- Improve ROE & EPS
- Seek opportunity to cancel

Balanced regulatory environment

Investors' Concerns

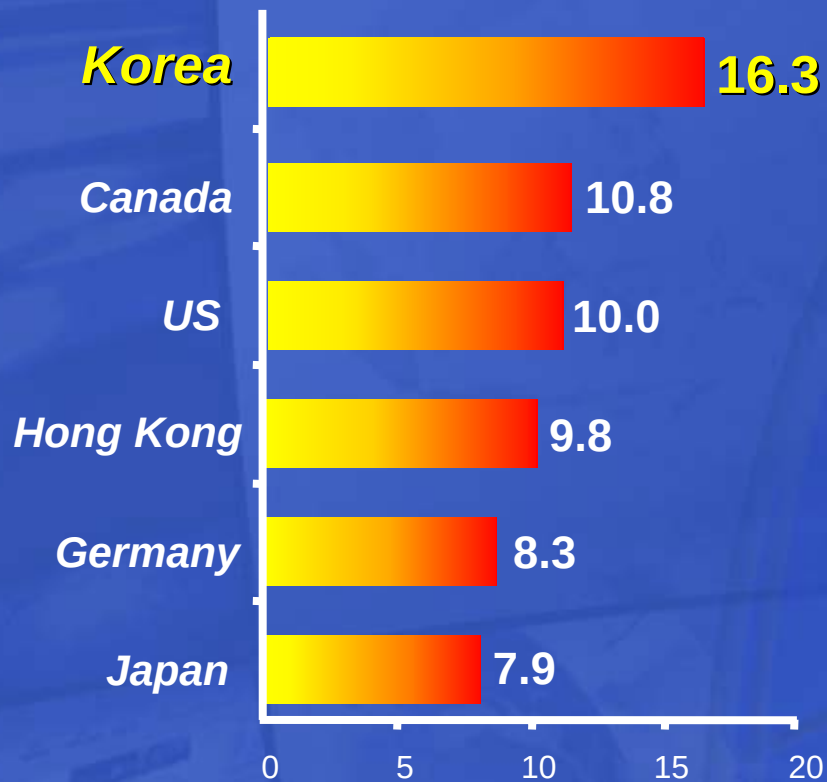
- **Opening of LM market**
 - Subject to increasing USO compensation ratio
- **Number portability**
 - To be introduced in limited regions
- **Local loop unbundling**
 - Introduced but not effective

Positive Changes

- **USO compensation expected to rise to 100% from current 50%**
- **Tariff rebalancing**
 - Introduction of flat rate plan
 - 5~15% increase in corporate leased line rate
 - To gain full autonomy in price cap system from 2H. 2003

Favourable environment for broadband

Internet Usage (Hours per Month)



On-line stock trading

- 54% KSE
- 79% KOSDAQ



On-line games

- 54% penetration of Korean Internet users



Internet broadcasting

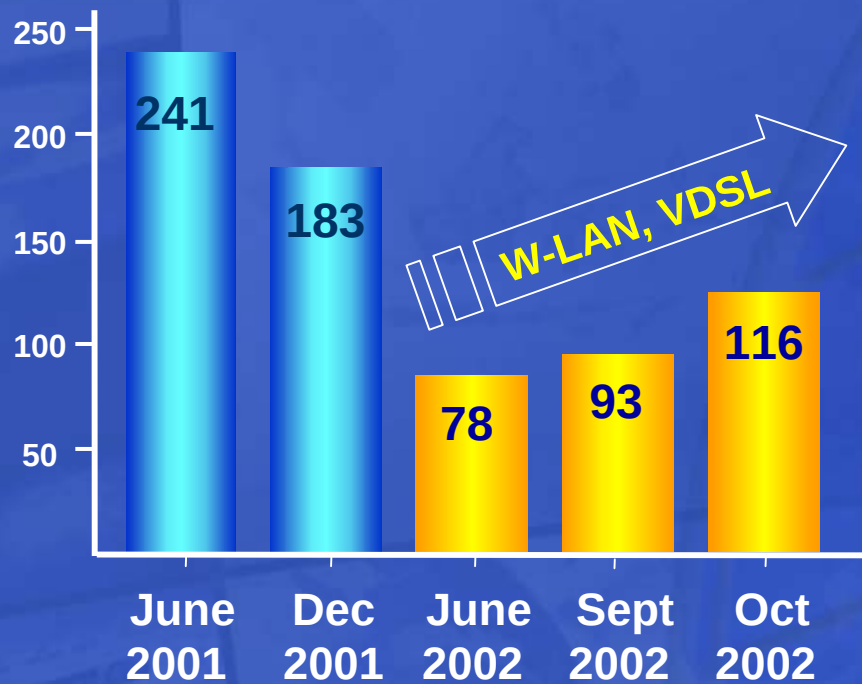
- 74% of Korean Internet population access audio/video content

Source: Nielsen NetRatings, as of 2002

Broadband drives revenue growth

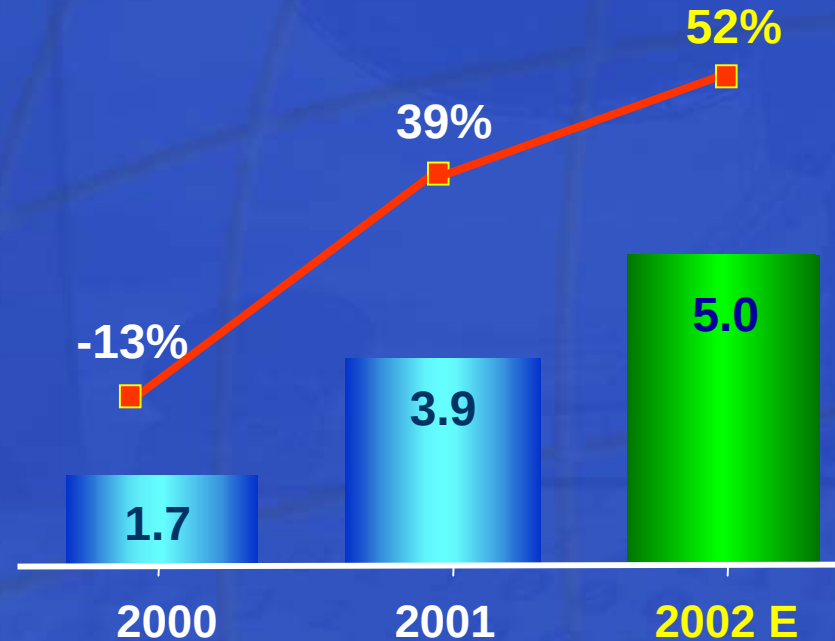
Subscriber Net Addition

(Subs. in Thousand)



Profitability & Growth

(Subs. in Million)



 Total Subscribers  EBITDA margin

Stabilising fixed line revenue

Revenue ('98~2001)

(KRW Billion)



Current Revenue Trend

(KRW Billion)

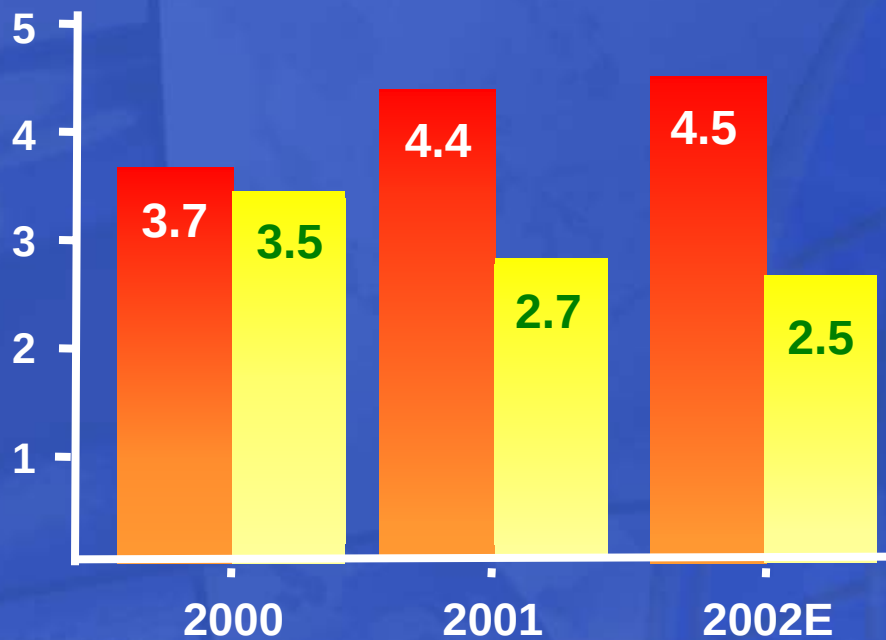


Tariff rebalancing and Value added service

Efficient CAPEX control

EBITDA vs. CAPEX

(Non-consolidated, KRW billion)



EBITDA CAPEX

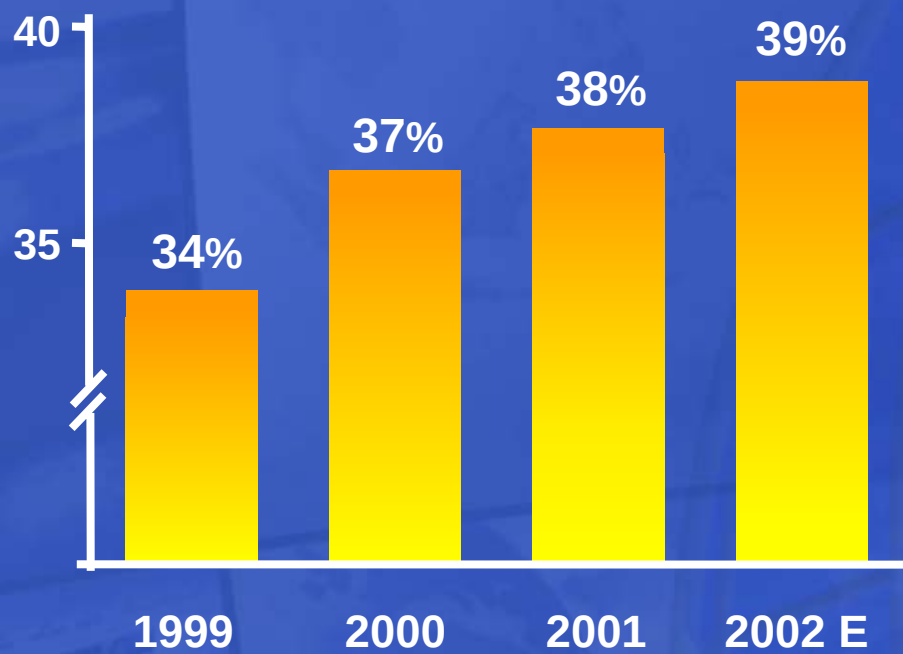
CAPEX as % of Sales

(Non-consolidated,%)



Focus on profitability and returns

EBITDA Margin



ROE



New Management Paradigm

*Enhancing
Corporate Governance*

*More Profit -Oriented
Management*

***Maximization of
Shareholders' Value***

*Continuing to Deliver
Commitment to shareholders*

*Appropriate Usage of
Free Cash Flows*

The logo consists of the letters 'KT' in a bold, dark blue, sans-serif font. The letters are positioned in front of a rectangular area with a light blue dotted grid pattern. The background of the entire slide is a vibrant blue with abstract, glowing white and yellow light streaks and a bright circular glow behind the logo.

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The Value Networking Company

Thank you